CONCALL TRACKER · EARNINGS-CALL READ

Marksans Pharma Ltd

Screener ticker: MARKSANS · BSE 524404 · Prepared 4 July 2026 · Based on the 12 most recent earnings-call transcripts (Q1 FY24 → Q4 FY26, Aug 2023 to May 2026)

1. Snapshot — what the company is

Marksans Pharma makes **generic (non-branded, off-patent) medicines** — mostly **over-the-counter (OTC) tablets, capsules and liquids** you can buy without a doctor's prescription (pain-killers like ibuprofen, cough & cold, digestion, allergy). It manufactures cheaply in India (and a smaller plant in the USA) and sells the output almost entirely abroad — to retail chains in the United States, United Kingdom, Australia and elsewhere, who put it on shelves under their own store labels. So it is essentially an **export-driven, low-cost private-label drug factory**.

₹2,951 cr
FY26 revenue (total yearly sales) — up 12.5% on FY25, and up from ₹1,852 cr in FY23

₹420 cr
FY26 net profit (money kept after all costs & tax) — up ~10%; EPS ₹9.22 per share

20.4%
FY26 operating margin (operating profit ₹601 cr as a share of sales) — ~₹20 profit-before-financing per ₹100 sold

Debt-free
No borrowings; ₹990 cr cash in hand at Mar-2026 — a large war-chest for buying other companies

~19% ROCE
Return on capital employed — ₹19 pre-tax profit per ₹100 of capital used; healthy but easing from ~38% in FY21

43.9% / 0%
Promoter holding steady at 43.87%; no pledged shares. Same founder-CEO Mark Saldanha throughout

Note: current market capitalisation and share price are not part of the scraped snapshot, so they are not quoted here. Revenue has grown at roughly a 17% yearly clip over FY23→FY26.

2. Concall coverage — what was read

Twelve consecutive quarterly earnings calls were read oldest-to-newest, spanning **three full financial years** (FY24, FY25, FY26). Every call featured the same two people: founder-Chairman & MD **Mark Saldanha** and CFO **Jitendra Sharma** — so the voice and story are directly comparable across the whole period.

Quarter	Call date	Revenue (₹ cr)	YoY growth	Op. margin	Read?
Q1 FY24	16 Aug 2023	500	+15%	20.4%	Yes
Q2 FY24	09 Nov 2023	531	+17%	21.4%	Yes
Q3 FY24	14 Feb 2024	586	+22%	22.7%	Yes
Q4 FY24	31 May 2024	560	+15%	19.6%	Yes
Q1 FY25	14 Aug 2024	591	+18%	21.7%	Yes
Q2 FY25	13 Nov 2024	642	+21%	21.1%	Yes
Q3 FY25	12 Feb 2025	682	+16%	20.4%	Yes
Q4 FY25	20 May 2025	708	+27%	17.8%	Yes
Q1 FY26	13 Aug 2025	620	+5%	16.1%	Yes
Q2 FY26	14 Nov 2025	720	+12%	20.1%	Yes
Q3 FY26	06 Feb 2026	754	+11%	21.3%	Yes
Q4 FY26	27 May 2026	856	+21%	22.8%	Yes

Read: the plain-English take on the growth column — sales climbed every single quarter year-on-year for three years, but the pace cooled sharply in Q1 FY26 (only +5%) before recovering strongly through the rest of FY26.

★ Latest concall highlights — Q4 & full-year FY26 (call held 27 May 2026)

- **Record quarter and record year.** Q4 sales ₹856 cr (up 21% on last year — the highest ever three-month sales); full-year FY26 sales ₹2,951 cr (up 12.5%). This is the year the multi-year "reach ₹3,000 cr" target was essentially met.
- **Profit jumped and margins bounced back.** Q4 operating margin 22.8% (the best in years, up from a weak 16-18% a year earlier) as the new Goa plant's fixed costs finally got spread over more output. Q4 net profit ₹149 cr, up 64%. Full-year net profit ₹420 cr; EPS ₹9.22.
- **Cash pile keeps growing.** Ended the year debt-free with ₹990 cr cash and ₹328 cr of free cash flow (the big spending phase on the new plant is now over). Dividend raised again to ₹0.90/share (a third straight annual increase).

- **New geographies opening.** During FY26 the company set up arms in Germany, Ireland and Canada, and entered branded prescription generics in Australia — its first real push beyond the US/UK core.
- **Management's tone: confident, cautious on one thing.** Bullish on the next targets (₹4,000 cr in ~2 years). The one flagged worry: raw-material prices up 20-30% due to oil-linked geopolitics, which could pressure margins in early FY27.

2c. Business mix & capacity (quick-glance panel)

Split	Latest figure (FY26)	Plain read
Domestic vs export	Domestic (India) ≈ 0% · Exports ≈ 100%	Almost the entire business is overseas: USA ~52%, UK/Europe ~34%, Australia/NZ ~10%, rest ~4%. India sales are negligible — management only talks of "someday" entering India.
OTC vs prescription (Rx)	OTC ~77-80% · Rx ~20%	Most sales are off-the-shelf medicines (steadier, contract-based). In the US it is ~90% OTC; in the UK a more balanced ~60% OTC / 40% Rx.
Where it is made	India ~60-65% · USA ~35-40%	Mostly manufactured cheaply in Goa, India (a smaller plant in New Jersey, USA gives a "tariff hedge"). Almost all output is shipped out to export markets.
Capacity utilisation	Total plants ~50-55% · new Goa (ex-Teva) unit ~50%	Roughly half the total 26-billion-unit capacity is in use, so there is large headroom to grow output before new plants are needed. Current capacity is said to support up to ~₹4,000 cr of sales; older Goa plant runs ~65-70% (ceiling ~85%).

★ 3. Earning-Trigger thesis — the headline of this report

The single growth engine management has pushed on every call for three years is scale: win more shelf-space in the huge US private-label OTC market, and back it with the extra factory capacity of the "Teva" plant bought in Goa in early 2024. The idea: the US is a giant market where Marksans is still tiny, so it can keep taking share from a small base; the second Goa plant supplies the extra volume; and newer growth "legs" (complex UK prescription products, then Europe/Canada) extend the runway. The proof is in the numbers — revenue has risen from ₹1,852 cr (FY23) to ₹2,951 cr (FY26), with the US roughly doubling to ₹1,533 cr, while the balance sheet stayed debt-free with a growing cash pile.

Trigger	What management said	Evidence so far	Horizon	Strength
US OTC share gains	US is "tip of the iceberg"; double revenue ($100m→$200m→$300m order book); ~20-25% growth.	US sales grew ₹918 cr → ₹1,533 cr (FY24→FY26), +24% p.a.; order book $180m → $220-230m. Clearly happening.	Now → 3-4 yrs	**Strong** — real, in the numbers.
Teva Goa plant capacity	Extra factory to fuel growth to ₹3,000 cr+; ~₹600 cr sales in FY25; eventually ₹800-1,000 cr.	Broke even on time (Q1 FY25) but revenue ramp slipped ~1 year (only ~₹325 cr FY25); now trending ₹560-600 cr, only ~50% used.	Ongoing	**Moderate** — delivering late, still ramping.
UK niche/complex Rx	Shift UK to higher-margin, low-competition products; heavy filings (200+ over 4 yrs).	Many MHRA approvals each quarter; but UK hit abnormal price erosion in FY26 (Q1 UK fell ~20%) before recovering.	1-3 yrs	**Moderate** — pipeline real, market choppy.
Europe / Canada expansion	New markets via acquisition; then organic entry (Germany, Ireland, Canada).	Arms set up FY26; almost no revenue yet. A 3-year hunt for a European acquisition never closed a deal.	2-5 yrs	**Unproven** — still at the starting line.

4. Management consistency scorecard — promised vs delivered

Period / theme	What was promised	What actually happened	Verdict
FY24 revenue	"We will cross ₹2,000 cr this year" (said mid-FY24).	FY24 came in at ₹2,177 cr. Beat the target.	**Delivered**
The ₹3,000 cr target	Reach ₹3,000 cr revenue "within ~2 years" (set FY24, i.e. by ~FY26).	FY26 operating revenue ₹2,951 cr — hit within a whisker (crossed ₹3,000 cr counting other income). Essentially delivered on schedule.	**Delivered**
Teva plant revenue	Meaningful revenue from Q4 FY24; ~₹500-600 cr in FY25; ₹800 cr, then ₹1,000 cr.	Broke even on time, but the sales ramp ran ~1 year late (only ~₹325 cr FY25 vs ₹500-600 promised). Blamed slow product approvals/site transfers. Now ~₹560-600 cr, ₹800 cr still pending.	**Partly**
Operating margin	17-19% (FY24), rising to 21-22% and eventually toward the historic ~25% peak as scale kicks in.		**Partly**

		Held ~20-21% for three years (FY26 20.4%, Q4 22.8%). The promised big margin expansion has NOT arrived — eaten by Teva ramp costs, freight and UK price erosion.	
US doubling	Double US revenue from ~$100m toward $200-300m.	US sales up ~24% p.a.; order book grew to $220-230m. On track, if a little behind the boldest timeline.	**Delivered**
Europe acquisition	"In dialogue / advanced dialogue" on European buy-outs — repeated on almost every call for 3 years.	Not one deal closed; several due-diligences "fizzled out". Pivoted to slow organic entry (Germany/Ireland) in FY26.	**Too-early**
Backward integration (API)	File drug-master-files (DMFs) from Sept-2023 to make own raw materials; benefits by mid-2024.	Filed 1-2 DMFs, then quietly downgraded it — "we are not an API company, it's just a hedge." Story faded.	**Dropped**
Balance-sheet discipline	Stay debt-free; return one-third of free cash flow to shareholders.	Stayed debt-free throughout; cash rose to ₹990 cr; dividend lifted three years running (₹0.60 → ₹0.90). Credit rating upgraded (to AA-).	**Delivered**

Narrative drift

The story has been **remarkably steady**. Same two managers, same five "pillars" (OTC expansion, product pipeline, capacity, front-end acquisition, sustainable growth), and the same climbing ladder of targets (₹2,000 → 3,000 → 4,000 → 5,000 cr) restated call after call. Management consistently coaches investors to "judge us year-on-year, not quarter-on-quarter," and was candid about setbacks (Teva delays, UK price erosion, tariff uncertainty, freight spikes) rather than hiding them. The genuine soft spots are the **slow Teva ramp, the margin that never expanded as promised, the abandoned API story, and the three-year European acquisition that never closed** — but these were mostly secondary/optimistic items, and the big headline commitments (revenue targets, US growth, debt-free balance sheet, rising dividend) were met.

5. Bottom line — the two verdicts

Durable earning trigger? → YES

There is a clear, concrete and still-live driver: taking share in the vast US private-label OTC market from a small base, fed by spare capacity at the new Goa plant, and now extended by UK complex products and fresh Europe/Canada entries. It is not a promise — it has already shown up as a near-doubling of revenue (₹1,852 cr → ₹2,951 cr in three years) and record profits, all funded internally with no debt. The trigger remains live because the second Goa plant is only ~50% used and new geographies have barely started.

Management consistent? → YES

Same team, same steady story, and the marquee promises (₹2,000 cr, then ~₹3,000 cr revenue; US growth; debt-free; rising dividend) were delivered on roughly the schedule given. It is a considered "yes," not a flawless one: the Teva revenue ramp slipped about a year, the promised margin expansion toward 22-25% never came (margins sat ~20%), the API/backward-integration plan quietly faded, and a three-year European acquisition hunt closed nothing. But those misses were on secondary or optimistic items and were openly acknowledged — the record on the core commitments is honest and dependable.

Concall-Tracker report · Marksans Pharma Ltd · sources: 12 Screener.in earnings-call transcripts (Q1 FY24–Q4 FY26) plus scraped Screener financial snapshot CSVs. All ₹ figures in crores unless stated. "OTC" = over-the-counter (no-prescription) medicine; "Rx" = prescription medicine; "operating margin" = operating profit as a % of sales; "EPS" = earnings per share; "DMF" = a filing to use a self-made active drug ingredient; "free cash flow" = cash left after running costs and investment. This is a transcript-reading aid, not investment advice.